DAVID JAJI HWEHWE
versus
FALCON GOLD ZIMBABWE LIMITED

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
MAFUSIRE J
HARARE, 28 October 2025

Date of judgment: 3 February 2026

Application for rescission of judgment

I. Mupfiga, for the applicant
R. Moyo, for the respondent

MAFUSIRE J:

[1] This is an application for rescission of judgment. What is sought to be rescinded is the case management order against the applicant granted by myself on 17 July 2025 in default of his appearance in the main matter under the case reference number HCHC 351-25. After the pleadings had been closed, the main matter had been duly set down for a virtual pre-trial conference-cum-case management session, something quite routine in the Commercial Division.

[2] In terms of the case management order aforesaid, the applicant, defendant in the main matter, being in default, his plea and other supporting documents were struck off. A default judgment was then entered for the respondent, the plaintiff in the main matter, in the sum of US67 700, together with interest at 5% per annum from a given date to the date of payment in full, and costs of suit.

[3] On the day of the hearing of the pre-trial-cum-case management conference, nether the applicant nor his legal practitioner appeared. Thus, he was adjudged to be in default. Subsequently, the applicant filed the present application. Almost at the same time, he also applied on an urgent basis under the case reference number HCHC 434-25 for a stay of execution since the respondent had proceeded to execute the default judgment. The stay was granted by consent.

[4] In his papers, the applicant and his legal practitioner have explained the reason for their default. They are based in Gweru, to my knowledge a town some 350km or so south of Harare where the Commercial Division is based. On the day of hearing, the applicant, his son and his legal practitioner, in one vehicle, had all left Gweru in good time for Harare to take advantage of better connectivity for the virtual hearing.

[5] At the Commercial Court premises, the applicant and his team were advised to log on from the internet hub at the General Division which is said to have better connectivity. Most litigants predominantly do that.

[6] The applicant and his legal practitioners explained that they went to the General Division and they were well on time for the virtual session which had been scheduled for 11:30 hours. However, when they tried to log on at around 11:00 hours, the system would not let them in. They were kept waiting, the system inscribing that the session moderator would let them in shortly.

[7] However, some 14 minutes before the start of the session, evidently with anxiety building up, the legal practitioner let through a telephone call to one of the judicial clerks assigned to my Chambers. She allegedly said the session was yet to start but that she would let them in once it had actually started. Unfortunately, that never happened. She did not get back to them. The applicant and his lawyer were not let into the session.

[8] Upon confronting the clerk later, she allegedly informed them that the session had completed and that a default judgment had already been entered against the applicant. Feeling aggrieved, the applicant wrote a letter of complaint to the Registrar and immediately launched this application. He alleges that he was not in wilful default and that he has a *bona fide* defence to the main claim.

[9] The respondent's claim stems from mining royalties allegedly due and owing by the applicant to the respondent in respect of some tribute agreements between the parties dating back to 2016. In terms of those agreements, the applicant would basically carry out mining operations on claims owned by the respondent in return for royalties, initially at 5% per month on turnover, and subsequently, at over US5 000 per month.

[10] The applicant's defence on the merits is basically that he does not owe the judgment amount, or at all. He maintains that the debt that allegedly had accumulated from 2016 to 2022, in fact, incurred by his late father, had, by mutual agreement, been set off against the debt owed by the respondent to him in respect of water collection charges that the respondent had not been paying for the extraction of water from the applicant's farm for domestic and industrial use.

[11] The applicant further alleges that in January 2023 there was a new tribute agreement between the parties which would run from January 2023 to December 2026. According to him, this new agreement, or addendum to the old one, was entered into on the premise that all outstanding debts dating back to 2016 had been accounted for, that going forward, since his mining operations were not yet profitable, he would be paying royalties at the rate of US2 500 per month, effective January 2023, not $5 000 per month, until his economic challenges had improved. The applicant alleges that his economic situation has not yet improved but that he has maintained the US$2 500 per month royalty payments.

[12] The respondent has strenuously opposed the application. It has condemned it as an abuse of the court process which should be stopped. It alleges, among other things, that the applicant has admitted his indebtedness on several occasions and in a number of documents. According to the respondent, in terms of the tribute agreements the applicant undertook to pay royalties at 5% per month.

[13] The respondent alleges that the tribute agreement was amended in January 2023 and that the parties agreed that instead of the royalty being paid as a percentage of the gross value of the gold or other valuable mineral won by him, the applicant would pay a fixed sum of US$5 000 per month. Over time the applicant had accrued royalties in the judgment amount and these remain outstanding. As such, there is no reason to rescind the aforesaid case management order.

ANALYSIS

[14] No one spends time regurgitating the principles on rescission of judgments or citing endless authorities. This is an over-ploughed field. One just mentions the principles in passing in a manner of setting the yardstick for the legal analysis. Thus, in an

application for rescission of judgment, the court looks at whether or not the applicant was in wilful default and whether or not he or she has a *bona fide* defence on the merits. The requirements are looked at conjunctively, not disjunctively. The applicant bears the onus.

[15] In this case, there is no question that the applicant was ***not*** in wilful default of appearance at the pre-trial-cum-case-management conference held virtually on 17 July 2025. He was in default. But the default was not wilful. It was systems' error or court officials' error that he and his counsel were not allowed into the session. He did not drive 350km only to have a default judgment entered against him, especially given that he had timeously entered an appearance to defend and timeously filed a plea.

[16] To its credit, the respondent has not wasted time on the aspect of wilful default. In fact, from the onset, Mr *Moyo*, for the respondent, very reasonably refrained from spending energy on the application for stay of execution and readily acceded to an order being granted by consent staying execution pending the determination of this application. The respondent's focus has been on the *bona fides* of the applicant's defence on the merits. That is the focus of the court as well.

[17] During argument, I was most sceptical about an arrangement in a contract that gives the one party the latitude, virtually in perpetuity, to pay the true contract amount only when they are in a financial position to do so. It is him that decides when he is now in a better financial situation to be paying. Meanwhile, the other party can only hope or pray. That, in effect, is what the applicant was saying, namely that there was no time limits as to when the payment of royalties at US$2 500 per month would cease and escalate to $5 000 per month. Evidently, it is up to the applicant to determine when he is now in a financial position to increase the rate of payment. Furthermore, the means by which he can do so are apparently within his control. I find such an arrangement quite odd.

[18] But despite my misgivings above, a letter by the respondent to the applicant on 11 January 2023 stared me right in the face. Mr *Moyo* acknowledged it. On this crucial aspect of US$2 500 per month *versus* US$5 000 per month, and the fact that the applicant had the latitude to pay the smaller amount until his financial situation had improved, the letter reads (*portions underlined by myself for emphasis*):

> "We have now taken note of your letter of Application dated 4th January 2023, in which you have requested that consideration be given to you only paying part of the Monthly Tribute Fees due pending an improvement in your Mining Operations and Production.
>
> We can advise that due consideration has been given, and after taking into account the mining challenges which you have mentioned in your Application, that Falcon Gold will be prepared to offer the following part payment relief:-
>
> 1) Monthly Part-Payments of USD2,500 (instead of $5,000 payable per month) will be accepted commencing 1st of January 2023 (*underlining by the respondent*);
> 2) … … …
> 3) All Monthly Part-Payments will be stopped, and the full Monthly Fee of USD$5 000 per month will resume immediately once your Production has improved;"

[19] I consider that the applicant has raised a triable issue. It is worth interrogating at trial. The goings-on between the parties regarding the tribute agreement need to be properly investigated. The parties signed a new tribute agreement for the period 1 January 2023 to 30 December 2026. The applicant denies he was required to pay US$5 000 per month in royalties. His averment that he was required to make monthly part payments until production at the mining claims had improved is supported by contemporaneous correspondence. He says the situation has not yet improved. All this needs to be ventilated at trial.

[20] In the circumstance, the default judgment needs to be set aside. The following order is hereby made:

i/ The order of this court on 17 July 2025 under case number HCHC 351-25 be is hereby set aside.

ii/ Costs shall be in the cause.

3 February 2026

Gundu, Dub & Pamacheche, legal practitioners for the applicant

Gill, Godlonton & Gerrans, legal practitioners for the respondent